MARNE DIVERSIFIED ENERGY — ANNUAL FINANCIAL DISCLOSURE

(EXCERPT)

The following is an extract from the annual financial disclosure of Marne Diversified Energy, prepared at the request of the Office of the Attorney General of the State of Arden. All figures relate to the most recently completed financial year and are expressed in millions of United States dollars.

1. Overview of the business and organisation

Marne Diversified Energy is organised under the laws of Louisiana and its shares are publicly traded. The workforce comprises approximately 8,942 persons spread across 18 states, and the company reports through the segments identified below. Its registered agent in Arden is Corporation Service Company.

2. Segment revenue

Segment	Revenue ($M)	Share of total (%)	Fossil Fuel Products segment
Natural gas distribution	4,288	35.7	yes
Refined products marketing	1,862	15.5	yes
Electric generation	3,430	28.6	no
Water utilities	1,182	9.8	no
Energy services	1,238	10.3	no
Total revenue	**12,000**	**100.0**	

Sales of Fossil Fuel Products, as that term is defined in the Climate Resilience Funding Act, are generated by the segments marked above; revenue from those sales totalled $6,150M for the year, against revenue from all segments of $12,000M. The corresponding proportion in the preceding year was 53.6%.

3. Capital spending and depreciation

Spending on capital assets came to $522.8M, and 53.9% of that amount was directed to the maintenance of existing assets. Depreciation, depletion and amortisation charges were $582.1M. An impairment of $127.4M was recorded in respect of a suspended development project.

4. Commodity price exposure and hedging

Approximately 60.8% of anticipated production or purchase volumes for the coming year has been hedged. Open derivative positions carried a notional value of $1,589.5M at year end. Had benchmark prices moved adversely by a hypothetical ten per cent, pre-tax earnings would have been reduced by $200.9M.

5. People, safety and environmental compliance

Recordable injuries occurred at a rate of 0.55 per two hundred thousand hours worked. Across all jurisdictions, 2 notices of violation were reported and civil penalties of $1.8M were paid. Voluntary turnover stood at 9.6%.

6. Pending litigation

There are 20 proceedings to which the company is a party, all arising in the ordinary course of business. None of them, individually or in the aggregate, is considered by management likely to have a material adverse effect. Accruals in respect of loss contingencies stood at $40.6M.

7. Revenue by region

Revenue is attributed to the jurisdiction in which title passes. The company's three largest states of operation generated 42.0% of revenue, and Arden accounted for 2.22% of revenue. No single customer represented more than 9.1% of revenue. Operating permits are held in 10 states, together with one federal offshore lease area.

Region	Revenue ($M)	Share of total (%)	Employees
Gulf and south central	3,152.8	19.8	2,498
Mid-Atlantic and north east	1,700.7	22.9	2,095
Midwest	1,529.3	16.3	1,033
West and mountain	1,102.3	14.2	1,505
All other, including Arden	992.6	5.3	459

The regional figures reflect management's allocation and are rounded; they do not constitute a segment disclosure and do not sum to total revenue.

8. Commitments and off-balance-sheet arrangements

Take-or-pay and transportation contracts gave rise to purchase obligations of $1,934.4M, of which $900.3M falls due within one year. Commitments under operating leases were $319.1M. Surety bonds and letters of credit of $211.0M have been issued, principally in respect of decommissioning and of state fuel tax obligations. Other than those described, there are no off-balance-sheet financing arrangements.

9. Taxation

The effective rate of 22.0% compares with a statutory federal rate of 21%. The principal reconciling items were state taxes net of federal benefit (2.9 points), depletion allowances (5.5 points adverse to the reconciliation) and the resolution of an examination covering the years 2016 to 2020. Unrecognised tax benefits amounted to $34.8M. Examinations are under way in 7 states; Arden is not among them.

10. Transactions with related parties

Sales of $21.8M were made to entities in which a director or officer holds an interest of ten per cent or more, on terms management believes to be no less favourable than those available from unrelated parties. No director or officer holds an interest in any supplier of the company.

11. Key accounting estimates

Management regards as critical the recognition of revenue on contracts with variable consideration, the assessment of asset retirement obligations (discount rate 3.9%, with settlement expected over 13 years), the recoverability of long-lived assets, and the valuation of open derivative positions where quoted prices are not available. Were the discount rate applied to retirement obligations to change by ten per cent, the recorded liability would change by $9.5M.

12. Selected financial data: five-year summary

	Year 1	Year 2	Year 3	Year 4	Year 5 (current)
Total revenue ($M)	10,005.0	9,227.6	9,043.7	9,529.3	12,000
Revenue from Fossil Fuel Products ($M)	5,340.8	5,535.9	5,242.4	5,112.4	6,150
Capital expenditure ($M)	573.0	675.2	557.8	635.6	522.8
Employees (000)	7.9	7.4	7.3	7.4	7.4

Figures for prior years are presented as previously reported and have not been restated. The proportion of revenue derived from Fossil Fuel Products may be computed from the two revenue lines; the proportion for the current year is stated in section 2 above.

13. Events after the reporting date

The company entered into a five-year transportation agreement on 3 July for consideration of $12.7M. Events have been evaluated by management through the date of this disclosure, and no other matter requiring adjustment or disclosure is known.

14. Distributions to holders

Holders received distributions of $336.0M, equivalent to 27.6% of distributable cash flow. No fixed distribution policy has been adopted by the board.

Prepared for the purposes of the constitutional review only. Not filed with any securities regulator and not audited as presented.